

(18) Giving away my entire \$5k/week trading model (live backtesting) - YouTube
<https://www.youtube.com/watch?v=2Z0YT7vY0eM>

Transcript:

(00:00) I'm going to back test the LC model in real time and walk you through the entire process for every trade from start to finish. Now, I'm not just going to show cherrypicked setups or only show you the wins. I'm going to show every trade that the system produces and explain what I'd be looking for, where I'd enter, where I'd pass, and exactly how I'd manage risk.

(00:21) The goal here is to show you how to think in the moment, not after the fact. So, this back test isn't about being perfect. It's about showing how to stay systematic when things aren't obvious. It's about how to trust your process even when your brain wants to overthink or force a setup. Because that's the hardest thing to overcome when you're trading in real time.

(00:41) And the main cause of this is not trusting your system enough to let it play out and interfering, which makes you trust your system even less. But once you see it play out often enough in the real market, it's much easier to trust. then you interrupt yourself less, get better results, and naturally start trusting it more, and that only makes it easier.

(01:01) So, before we dive in, here are a few quick things to note. Number one, and most important, is that trades must follow the LC method, of course. I won't go into depth explaining LCE here, but I'll link some videos right now that explain it in detail that you can watch later. But all trades must be leveltole.

(01:21) I also only trade during regular trading hours or the New York session. The LCE model works on all time zones, but I just happen to live in the Eastern time zone, so I only take trades from 9:30 a.m. to 4:00 p.m. and I'm typically done before 12:00 p.m. most days. The New York session also has the most volume, which helps with moves and volatility.

(01:41) I will also only be taking breakout trades and not anything mean reversion or counter trend. And with LCE, that just means that if we move back to the level we came from, it's mean reversion. If we break into a new level instead, it's a breakout. I'll also link a video right now explaining that in depth, but you'll see what that looks like in a minute.

(02:01) And finally, risk is the same for every trade. This depends on your account size and risk tolerance, of course, but it should generally be a size where you can handle 10 to 20 losses in a row without blowing up. So, we'll be back testing last week on ES futures, which is the main asset I trade from September 22nd to September 26th. Let's start with Monday.

(02:23) All right. So, on Monday, we see that we've opened in the middle of a zone. Now, our goal here is not to take every single leveltole trade because that would be exhausting. We only want to take trades where the market has a high probability of moving to one level rather than the other.

(02:39) That's why I only take breakout trades. there's a clear alignment of trend and momentum to one side which makes it much more likely to move in that direction. So in this case, do we see a clear sign that it'll move in one direction rather than the other? Can we take a high probability level move? Well, it doesn't seem like it yet. The cloud was recently bullish, then seemingly flipped bearish here, but wasn't able to hold the price under it.

(03:06) And this is on the 15minute, which is a decently high time frame. And if we see action that's choppy or uncertain like this on a higher time frame, then it's

certainly choppy on our five minute execution time frame. But we don't want this. We want the trade to be pretty much obvious.

(03:24) We shouldn't be thinking for more than a few seconds about what direction we should trade in. And that will usually come when the price is trending strongly in one direction and the cloud follows. That means I'd be looking for a break of the level above to the next level or a break of the level below to the level under. So this is at the 930 open.

(03:43) Now what I do here is simply set alerts at both of these levels. Then wait. I don't want to be involved in any price action here since it's in the middle of a range. I only want a clean breakout to either side where the trade will be obvious. Now here what I do is simply wait. I don't look at my screen. I just do something else until my alert gets hit.

(04:03) Once my alert is hit, I open my screen and assess the situation. So here it seems that the market is trending up and recently broke into our upper supply level. Since I'm only looking for breakouts, all I need to do is confirm that probability is on my side before entering. And we do that mainly using the cloud.

(04:24) So first we zoom out to the 1 hour. And on the 1 hour, we see that the cloud is trending up strongly. This tells us that momentum and trend are on the bullish side. Once we see that the higher time frame is trending in our intended direction for a breakout, we can zoom in to our execution time frame, which is the 5-minute. And on the 5-minute, we see the same thing.

(04:52) The cloud is strongly sloping up with a thick layer of support. This is also pointing bullish. So now we need to decide if probability is on our side for a breakout trade. We see that trend and momentum on both the lower and higher time frame is pointing bullish, which indicates that it's more likely to break out and continue in that direction than it is to fall back into the range.

(05:12) Now, this whole analytical process should only take a few seconds, maybe a few minutes at most. Once we've analyzed the situation and determined that a breakout is likely, then we're looking to enter the trade. So, we enter long and place our stop under market structure and then target the next supply level.

(05:28) From here, I close my screen again and wait for the alert of my stop or my target getting hit. And that's one successful level-to-level trade from start to finish done for the day. Next, we have Tuesday. Now, if we take a look at the situation, we notice that it's very similar to yesterday's. We're opening at a supply and demand level and we're in the middle of a range.

(05:53) Since the cloud is flat and there isn't any clear probability at this level, then my plan is the same as yesterday's, which is to wait for a breakout to the level above or the level below. So then we simply set alerts on both sides before the open and we simply wait for one of them to hit. Okay. And here we hit the lower level.

(06:15) Since we're looking for a breakout, we want confirmation that it'll keep breaking lower. And for that, we use the cloud. On the five-minute, we see that the cloud flipped and is sloping down heavily. It's clearly bearish in this case, and it's built a lot of structure this morning to support that.

(06:31) And if we go to a higher time frame like the 15-minute or the 30-minute, we see the same thing. The cloud was bullish, but started flipping bearish. So that momentum shift on the higher time frame plus the bearish momentum on the lower time frame signals that the market is more likely to continue dropping lower than it is to move back up. And that's when we enter short.

(06:52) Now, it doesn't really matter precisely where you enter. It doesn't need to be a specific candlestick or pattern or location. You just want to try your best to enter in

this level once you get the confirmation that we're breaking out and exit at the next level. Then simply place your stop loss above market structure and your target at the next demand level.

(07:14) If we break above the stop, it means our breakout is most likely invalid. And we can look to take the next breakout trade at the following level where it lands. So we place our stop here and then place our target at the next demand level. Then we wait for our target or our stop to get hit. And that's one more successful level-to-level trade for the day.

(07:37) We want to lock in this win and stop trading. We'll come back tomorrow. Now, let's look at Wednesday. And Wednesday is starting to look like a very similar situation to the previous two days where we open at a level in the middle of a range. And the cloud is flat once again. So, our plan is the same.

(07:54) We'll set alerts to the level above and below, then wait for a level to hit and find enough confirmation to enter a breakout trade. Now, let's see what happens. Okay, so now we've hit the bottom level, similar to yesterday. We need confirmation that this move is more likely to continue breaking out than it is to reverse.

(08:16) If we zoom out to the higher time frame, we see that we have even more confirmation than yesterday because we can see here that the cloud is fully sloping down and has a heavy cloud of resistance over the price. And on the 5-minute, we have the same situation. We see that the cloud has flipped from flat to bearish.

(08:34) Both time frames are now telling us that a breakout is more likely. So, we'll enter short again. Same as usual with a stop above market structure and our target at the next demand. And keep in mind, I don't check any news or anything like that. It's just pure level-to-level movement with no outside influence. Now, let's see what happens.

(08:54) And we get another clean level-to-level drop. Now, we've locked in a win and we keep it moving to the next day. By the way, if you want to learn this exact process on ES every single day, you can work with me directly. We'll create a custom trading plan, have one-on-one calls, a private chat to communicate, and access to this exact chart.

(09:16) If you're interested, the links down below. So, now let's move on to Thursday. Now, we see that the market is in a downtrend and that the cloud is already heavy above the price. This gives us a natural inclination to go short, but we also want to wait for a breakout. You'd be able to go short at this level early, though, if you want to take that risk.

(09:34) But we can also set alerts at the level above and below to be more conservative. Now let's see what happens. And as expected, price folded to the downward pressure of the cloud and moved to the level below. Now our alert got hit and we'd be looking to take a short. Same as usual, stop above market structure and target at the next demand level. And let's see what happens here.

(10:02) and this one got stopped out. Losses are normal, of course, and you shouldn't expect a 100% win rate because that's impossible. That being said, let's look at why this one failed specifically so we can learn from it. So, the key here is what happened at the open. The cloud was bearish and so was momentum.

(10:21) So, we got that sharp draw down almost immediately. Now, once we got to the next demand, the move from all this downward pressure from the cloud already happened. This move was now too extended from the cloud and didn't have enough momentum or market structure to continue. So, if you didn't catch the first move, try your best to avoid the second move, especially if it's not as clear like this one.

(10:45) And finally, we have Friday's move. Let's look at how we're starting right

before the open here. We see that we're going to open in between two levels. So for a valid breakout to happen to either side, we would need to see a break of the supply level above to the next supply or a break of the demand level below to the next demand.

(11:02) Then we simply set alerts and wait. And here right at the open, we see that we briefly tested under the cloud, then immediately sprung up with some strong bullish momentum. Now the five minute is bullish, but the higher time frames are neutral or just beginning to flip bullish. So, we'll still go long, but we just need to be extra cautious because the move might collapse on us.

(11:25) And that means moving our stop to break even when the trade moves decently in our favor. So, we enter long with our stop under market structure and our target at the next supply level. The riskreward on this one isn't as large as the other ones because this setup isn't as clean without the higher time frames in agreement.

(11:44) And typically, if the higher time frame isn't caught up yet, then the move will either collapse on itself or consolidate until the cloud catches up. But we don't care about that since we're just looking for a leveltole move. We'll be out of it before any of that happens. Now, let's see what happens here. As we can see, the level hit, but the move then collapsed on itself because it was missing higher time frame support.

(12:09) It may still bounce back later, but it needs to build out proper structure before. And that's how the week wrapped up. As you saw, not every trade is a win, and that's fine. Losses are built into the system. The point of this back test wasn't to show perfection. It was to show consistency, as well as how simple trading can get once you follow the right system.

(12:31) When you trade leveltole with the LC model, everything becomes simple. Either it's a breakout or it's not. either the probabilities line up or they don't. You're not sitting there overthinking, second-guessing, or forcing something that isn't there. That's how you build consistency, and that's how you scale to incredibly large numbers.

(12:53) If you're focusing on anything beside that, you're wasting your time. That's why this works. You don't need to catch every move. You just need to catch the clean ones and let the system do the heavy lifting. So, if you want to start trading this way, check out the link below where you can work with me directly. And if this video helped you, let me know by dropping a like and subscribing and I'll drop more videos like this.

(13:17) I'll see you in the next